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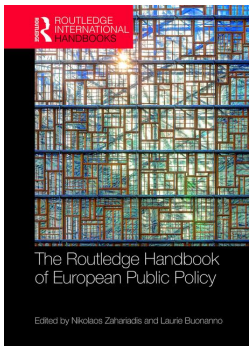

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PART II

Fiscal and monetary policies

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11
ECONOMIC AND MONETARY UNION

Waltraud Schelkle

Introduction

The Economic and Monetary Union is the outcome of attempts to replace the post-war monetary system agreed at Bretton Woods with an alternative on European terms. The economic union is based on the four freedoms of movement for goods and services, people and capital; the monetary union is based on a single currency issued by the European Central Bank (ECB). It is ultimately a political project of pooling sovereignty among small open economies which hoped to gain collectively more autonomy for policymaking. Yet, the case for market integration with and through currency unification was always carefully scripted as an economically rational undertaking. After the euro area (EA) crisis in 2010–2012, this seems doubtful as far as the common currency is concerned. Hence, this entry focuses on the single currency and touches on freedoms of movement only insofar they were seen as relevant for the functioning of the euro. The historical background is outlined first, then the evolving policy architecture and, finally, the debates surrounding the incomplete monetary union.

Historical background

The stability of the world economy that was created at Bretton Woods came to an end by the late 1960s. US administrations urged European leaders (and Japan) to take more responsibility for stimulating growth; these governments in turn asked the United States to pay more attention to their stability concerns. The Nixon administration abandoned the dollar-gold standard in the early 1970s, but economic policy coordination via G-7 summits since 1975 was a poor substitute for the loss of the US dollar anchor. An early plan for a European monetary union, the so-called Werner Plan, proposed to introduce a single currency by 1980. Exchange rate instability disrupted trade and international investment, made macroeconomic stabilization much more difficult and the Common Agricultural Policy ever more complex because the value of farming subsidies fluctuated with exchange rates. At the same time as the European Community followed in financial liberalization the US and UK administrations under Ronald Reagan and Margaret Thatcher, continental European leaders also tried to create a zone of exchange rate stability.

The European Monetary System was set up in 1979 under a Franco-German initiative. Its Exchange Rate Mechanism (ERM) committed central banks to keeping their exchange rates

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within a target zone based on the European Currency Unit (ECU) which forced them to coordinate their monetary policies closely. However, the grid of exchange rate parities came under stress whenever the D-Mark appreciated against the US dollar, triggered by permanent current account imbalances between the two currency areas. It put other European partners in a dilemma: following the German lead would risk rising current account deficits and losses in lucrative American markets, abandoning the peg to the ECU would unleash capital outflows and monetary instability. This coordinated exchange rate stabilization became moderately successful only after US and European monetary policies became more aligned by the mid-1980s, following the Federal Reserve's U-turn in 1979 (so-called Volcker shock).

There are many plausible explanations for why European policymakers moved from exchange rate coordination to currency unification (Sadeh and Verdun, 2009). The official EU version links the case for the euro to the Single Market Programme: one market would need one money to save transaction costs of integration and to prevent price distortions from exchange rate manipulation (CEC, 1990). The EU's case for a single currency was inspired more by the new economic geography and new trade theory than by the theory of optimal currency areas (Mundell, 1961). This new literature (for which Paul Krugman would later receive a Nobel Prize in economics) did not simply reiterate the free trade argument based on competitive advantage, but combined the theory of imperfect markets with the insight of Adam Smith that the wealth-creating division of labour (economic specialization) is limited by the extent of the market. Currency borders limited the extent of markets and could be abused for gaining absolute advantages vis-à-vis trading partners.

The Delors Report, submitted in April 1989, outlined a three-step process toward monetary union that would complete the Single Market (Committee, 1989, pp. 30–36). Jacques Delors, then President of the European Commission, had invited all central bank governors on this committee to give market observers the assurance that sceptics like the Bundesbank were heard and that monetary expertise guided the process. The timing of this report, several months before the Berlin Wall came down in November 1989, is at odds with the sole emphasis on German unification in 1990 in many popular accounts. Central bank governors had come around to endorse a common currency before France supposedly extracted the price of eliminating the D-Mark in return for agreeing to let Germany become an even bigger nation in the centre of reunited Europe.

This is not to deny that France, and many others, wanted to get rid of Bundesbank dominance. But there were plenty of other reasons for supporting a single currency, not only harboured by governments but also by transnational businesses and organized labour in major export sectors. The euro was supported by traditional hard currency countries like the Netherlands, anxious to enshrine a low inflation regime that gave their businesses a long planning horizon, and traditional soft currency countries like Italy accepting this in exchange for the promise of low interest rates that would make investment and public debt cheaper to finance. Obviously, there was also opposition in each country but it could be portrayed as backward, standing in the way of necessary modernization. The two major studies of Economic and Monetary Union, *The Choice for Europe* by Moravcsik (1998) and *The Road to Maastricht* by Dyson and Featherstone (1999), show how an unlikely alliance of interests was forged for one of the greatest experiments in history. McNamara's path-breaking book *The Currency of Ideas* (1998) describes in detail how the policy consensus around a hard currency formed.

The evolving policy architecture of the euro area

The original architecture was characterized by a strict separation of monetary and fiscal policy. The idea was to ensure price stability since governments could no longer count on monetary

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policy to serve their financing needs. Low interest rates would have to be the result of low inflation and lower risk premia thanks to prudent fiscal policies. Two institutions were designed to be the safeguards of this set-up: the singular independence of the European Central Bank (ECB) and fiscal rules enshrined in the Stability and Growth Pact (SGP). All this was in line with the economic thinking at the time (Schelkle and Hassel, 2013).

The formal definition of the ECB's independence was a radical innovation. International or supranational money had previously only been issued by hegemonic powers like the British Empire and the United States. But there was no identifiable state power behind the ECB. Article 130(1) TFEU spells out the essence of the ECB's independence: "[N]either the European Central Bank, nor a national central bank, nor any member of their decision-making bodies shall seek or take instructions from Union institutions, bodies, offices or agencies, from any government of a Member State or from any other body." This isolation from political influence was conferred on the European System of Central Banks (ESCB or Eurosystem) by the Delors Committee. It comprises goal independence, setting its own inflation target (of close to 2 per cent), and operational independence, setting the interest rate and managing liquidity as it sees fit to achieve this goal. While the ECB President has to answer questions regularly in the ECON Committee of the European Parliament, many observers see a problem of accountability in the fact that the ECB is judge and jury of its performance (Buiter, 2009).

The SGP was an afterthought of the Maastricht Treaty; current account imbalances and market instability due to capital flows were a more immediate concern during the negotiations of EMU (James, 2012, pp. 12, 196–197). But in 1995, the German Treasury drew up plans for a Stability Pact to which the Growth term was added later, at the instigation of the French government. The German initiative aimed at projecting the fiscal convergence criteria of the Maastricht Treaty onto the monetary union as a going concern (Heipertz and Verdun, 2010, p. 5): a budget deficit-to-GDP ratio of not more than 3 per cent and a public debt-to-GDP ratio of not more than (or fast approaching) 60 per cent. These criteria had to be met by applicant member states so as to be admitted to the euro area in 1999. The other convergence criteria were an inflation rate of not more than 1.5 per cent above the average of the three lowest inflation rates in the EU, long-term interest rates of not more than 2 per cent of the three lowest rates in EU member states, and staying for two years in the ERM without devaluing the exchange rate. In practice, only the inflation criterion proved binding, namely for Greece which had to bring down inflation before it was admitted in 2001 and later for two Baltic countries. The principle that all EU member states "shall avoid excessive government deficits" (Article 126(1) TFEU) was implemented in an elaborate set of steps and sanctions, for instance that the European Investment Bank may reconsider its lending if a government is a serial offender against the fiscal rules. An Excessive Deficit Procedure (EDP) was defined in two Regulations and could be opened against all EU members, not just those in the EA. But fines could be applied to EA member states only. There is no equivalent to this elaborate system of fiscal surveillance in any fiscal federation.

Fiscal surveillance remained a construction site, however, while the ECB's independence was not challenged until extraordinary monetary interventions became necessary after 2008. Portugal was the first country to break the rules and others followed quickly. In November 2003, social democratic governments in France and Germany openly defied the disciplinarian Pact that a conservative German administration had imposed on the monetary union: they cajoled other member states in the Council to refrain from opening an Excessive Deficit Procedure against them. The Commission took the Council to the European Court of Justice, which decided that the Council had the right to reject a recommendation by the Commission but had then to wait for a further recommendation from the Commission. This led to a major reform in 2005.

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It de-emphasized the excessive deficit criterion and asked governments to pursue primarily the Medium-Term Objective of "close to balance or in surplus" over a full business cycle. Average public debt declined in the following two years, greatly helped by benign economic conditions.

With the onset of the financial crisis in 2008, the EU noted that the sole focus on monetary policy and fiscal surveillance had left financial supervision trailing monetary-financial integration. Supervision was treated as a matter of the Single Market in financial services, rather than an integral part of the currency union: there was considerable legislative harmonization but implementation was a responsibility of national supervisory authorities. By 2009, member states took up the recommendations of the de Larosière report that financial supervision in the EU had to follow a single rulebook and three supervisory authorities were created: for banking, for securities markets and for pensions and insurance funds.

This was not enough to calm down markets. At the height of what had morphed into the euro area crisis, in June 2012, member state governments decided to create a banking union: a Single Supervisory Mechanism (SSM) was introduced on top of the three supervisory bodies, under the authority of the ECB. This meant that the banking union became a matter for the EA only: outsiders of the monetary union, like the UK and Poland, did not join because they refused to have their banks supervised by the ECB. Even though the banking union split the Single Market, it was not blocked by non-euro EU members as they wanted the EA members to get a grip on the crisis. This arrangement has made the ECB the world's largest financial supervisor in terms of bank assets: the ECB has authority over all banks in the EA but directly supervises only 130 large institutions that represent 80 per cent of all bank assets (figures for 2014, the year in which the banking union came into force). For the remaining 6,000 banks, supervision is delegated to national authorities but can be taken away from them if they are found to fail in their duties.

Other elements of the banking union, apart from the SSM and the Single Rule Book, include a Single Resolution Mechanism of €60 billion. This fund to compensate savers and other claimants in the case of a bank's default is designed to be financed by contributions from the financial industry. A European deposit guarantee scheme, again to be financed primarily by contributions from banks themselves, has been proposed by the European Commission in 2016 but was immediately rejected by the German government (FAZ, 2015). So far there is only a European Directive in place that harmonizes key features of national deposit guarantee schemes, notably that every EU member state has to have such a scheme, the maximum guaranteed amount and the time span within which compensation has to be paid out. This Directive had been in place since 1994 but was considerably reformed in 2014 (Directive 2014/49/EU on deposit guarantee schemes).

The crucial debate for both the centralized resolution fund and the planned deposit scheme was whether member state governments should underwrite a fiscal backstop, that is, joint liability in case a major shock hits a bank in a member state and overstretches national fiscal capacities. This targeted pooling of fiscal resources could not be agreed: governments from Northern but also Eastern member states explicitly refused to break the taboo of joint liability. This leaves the scenario of a negative feedback loop between weak banks and weak sovereigns (see below) alive.

The limitations of the banking union – no fiscal backstop for bank resolution, no joint deposit scheme – repeat the pattern observable in the set-up of the European Stability Mechanism (ESM) and its predecessor. In May 2010, member states agreed on an emergency fund for sovereign bailout programmes; the ECB had made the building of some fiscal capacity a precondition for entering its first bond-buying programme. The first emergency fund was meant to last for

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three years only but had to be made a permanent institution by 2011. The ESM has a volume of €500 billion and works on the same principle as the IMF: each member state guarantees a share of the bonds that the ESM issues to finance the credit to a distressed government; a guarantor country will have to bear a loss only if a debtor government defaults and uses up the capital of the ESM. ESM bonds have a senior status, however, junior only to IMF debt, which means that private bondholders will have to bear losses before the taxpayers of the guarantor countries do. The loss is determined by a guarantor country's share in the paid-up capital of the ECB which is in turn determined by a country's size in terms of population and GDP.

Emergency funding from the ESM is not confined to EA member states, but access is predicated on having signed the Fiscal Compact. This Compact is the fiscal section of an intergovernmental "Treaty on Stability, Coordination and Governance in the Economic and Monetary Union" that was initiated by French President Sarkozy and German Chancellor Merkel outside the EU treaty framework. The Compact came into force when at least 12 member states had signed up to it in 2013. Its major innovation is, first, that a balanced budget and a debt brake have to be written into hard law of a signatory state and that the Court of Justice of the European Union (CJEU) can be invoked to sanction a digressing member. Otherwise, it mirrors closely parallel reforms of the fiscal surveillance framework at the EU level, such as a speeding up of the time line for sanctions and the reversal of qualified majority voting that is now required to reject (rather than confirm) a Commission recommendation for opening an Excessive Deficit Procedure; this Procedure can now also apply to excessive debt. This so-called Six Pack, which is a "muscular" package of five new EU Directives and a Regulation to tighten surveillance of macroeconomic imbalances, was meant to absorb the Fiscal Compact once the legislative process had run its course. This was, however, thwarted by the UK refusing to sign the Fiscal Compact in 2015, at the time in company with the Czech government that has now signed. The UK's withdrawal from the EU may bring changes in this regard.

These and other reforms showed a revival of a disciplinarian stance of policy surveillance in the EU/EA. This revival happened under the impression of the bailout program for Greece that seemed to prove the case for tighter fiscal discipline. It forced member states to bend the no-bailout clause laid down in Article 125(1) TFEU reads: "The Union [..] [or a] Member State shall not be liable for or assume the commitments of central governments, regional, local or other public authorities, other bodies governed by public law, or public undertakings of another Member State, without prejudice to mutual financial guarantees for the joint execution of a specific project." However, the no-bailout clause is preceded by Article 122(2) TFEU: "Where a Member State is in difficulties or is seriously threatened with severe difficulties caused by natural disasters or exceptional occurrences beyond its control, the Council, on a proposal from the Commission, may grant, under certain conditions, Union financial assistance to the Member State concerned. The President of the Council shall inform the European Parliament of the decision taken." It was this Article that allowed the Council to decide on the first bailout program in May 2010, based on interpreting the financial crisis of 2008–2009 as an exceptional occurrence beyond the Greek government's control.

Even so, all the additional ammunition in the perennial struggle for fiscal discipline made little difference. Harder and faster penalties were not imposed several years into the implementation of the new rules. A few observers see in this still the moral hazard problem of the Council when asked to enforce the self-imposed fiscal rules: the voting finance ministers allegedly anticipate that they may sit in the dock one day and therefore let the perpetrator get away lightly. But there is another interpretation that takes the experience of the EA crisis as a watershed.

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Policy recommendations for an incomplete EMU

In 2010, the common crisis of financial systems in advanced economies morphed into a sovereign debt crisis of a few European countries. This gave momentum to a debate about the incompleteness of the Economic and Monetary Union (De Grauwe, 2013; Dolls et al., 2016, pp. 3–7 for an overview). It implied that the problem of the EA is not one of misbehaving countries but of the monetary system itself. One missing element was the banking union. But it stopped short of introducing a common fiscal backstop for bank resolution. The core of the debate how the EA could become less crisis-prone is now the question how much fiscal integration the monetary union needs and can muster in order to function.

Some scholars refer back to the theory of optimal currency area (OCA) and propose a more generous transfer union, along the lines of Peter Kenen's contribution to this theory (e.g., Krugman, 2013, pp. 442–43). But in these recent revivals, Kenen's important contribution is trivialized to advocating more redistributive regional policy, which the EU already operates. This tends to neglect his critique of the original OCA theory for its implication that an OCA should consist of one homogenous industry. Kenen (1969, pp. 49–50) advanced a competing diversification principle: his ideal Economic and Monetary Union consists of a bundle of diverse industries. A varied production structure provides insurance for a currency area so that a negative shock to employment and value added in a few sectors can be compensated by the good fortune of others. Exchange rate change is therefore only needed when there is a general shock, common to the currency area only. Since the change is relative to other currency areas, exchange rate adjustment will not be effective if the (intra-industry) trading partners have similar production structures. A study by the ECB (2013, pp. 66–68), based on an index for 250 industries, finds that EA members started out with relatively similar and diversified export structures, and became slightly more similar and more diversified still between 1999 and 2011. This suggests that EMU is an OCA in the Kenen sense: relative exchange rate adjustment would not serve as an adjustment mechanism.

For Kenen (1969, pp. 45–48), OCAs were defined by their fiscal arrangements. He argued that the stabilizing properties of fiscal federalism – a national market for regionally issued debt securities and discretionary transfers to depressed regions – require fixed exchange rates. Thus, he turns the original OC theory on its head: a region may have to give up its monetary powers "in order to participate in a major fiscal system" with these benefits (Mundell and Swoboda, 1969, p. 107). The reasons why "fiscal zones should not be larger than monetary zones" (ibid) is that the central fiscal authority has to nominate a means of payment if it is to avoid collecting taxes in devalued currencies, while sub-national monetary adventurism can lead to periodic crises. This is a lesson from US history. Again, the EA set-up fits Kenen's version of OCA theory: fiscal zones are smaller than the monetary zone. If this is diagnosed as a problem, OCA theory, even in Kenen's version, is not very helpful in understanding the travails of the EA (Schelkle, 2017, chapter 6).

Other scholars concluded that nothing short of a full-fledged fiscal union will do. De Grauwe (2011) spotted early on that despite similar vulnerabilities, EA member states like Spain seem to be more exposed to a sovereign debt crisis as a consequence of their bank rescues than non–euro member states like the UK, despite a more favorable fiscal situation. De Grauwe argued that Spain was exposed to bond market panic simply because the ECB cannot act as a lender of last resort to sovereigns directly while the Bank of England can and did buy government bonds from the Treasury. De Grauwe's analysis also supported calls for introducing some form of a common Eurobond: Spain could be supported by a second safety net in that the member states would collectively guarantee the repayment of each other's bond issues.

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This joint liability is one way of interrupting the negative feedback loop between weakening bank balance sheets and weakening government balance sheets; a central bank lending to governments is another. This "diabolic loop" was the common element in the crises of EA member states. With the exception of Greece and possibly Portugal, the starting point was that governments came to the rescue of domestic banks, which worsened public finances; this led to a downgrading of government bonds which weakened the balance sheets of banks holding these bonds (asset values fell relative to the values of their liabilities), and this called for another round of government rescues.

The desirable features of joint public debt management have been explored since the beginning of the EMU. To list only the most prominent Eurobond proposals:

- The earliest proposal came from the Giovannini group (2000). One suggestion was to have a Community institution that borrows and then lends on to member states. The joint liability stems from the guarantee by the EU budget. This communiterization has been created with the European Financial Stability Mechanism (EFSM) in 2010, operated by the Commission and with a lending capacity of up to €60 billion. It was also used for bailout programs to non–euro member states like Hungary and Romania. The other option was the creation of a single euro-area debt instrument backed by joint guarantees. The report is not fully endorsing such a Eurobond for a number of technical and legal difficulties, given that size and maturities of national bond issues are very different.
- Delpla and von Weizsäcker (2010) proposed a variant of the Eurobond that would deal with the stock problem of overindebtedness. The bond issue of every member country would be divided into a blue bond part of up to 60 per cent debt-to-GDP and a red bond part for the rest of its outstanding debt. The blue bonds enjoy the joint guarantee of euro area members while the red bonds constitute purely national debt with junior status to which orderly default procedures apply. Rules for sovereign insolvency would apply to the red bond issues and would allow to write down public debt.
- This is the starting point for a temporary introduction of a Eurobond for a Debt Redemption Pact that the German Council of Economic Experts proposed (Sachverständigenrat, 2012). National debt would be exchanged for the jointly guaranteed bond which would facilitate the fiscal consolidation by lowering interest rate costs; in turn, member states would have to stick to a rigorously set schedule for paying down their debt. Once public debt levels pass the Maastricht threshold of 60 per cent debt-to-GDP ratio, the Eurobond guarantee for a member state's debt would end and the scheme be phased out eventually.
- A private-sector equivalent to a Eurobond has been proposed by Brunnermeier et al. (2011). So-called ESBies, European Safe Bonds, are the safest tranche of a synthetic bond of EA governments' debt, issued by a private law body using structured financing techniques. The safety for the ESBies is generated by the fact that the holders of this tranche are the last in the hierarchy of loss-taking. It would make ESBies the preferred collateral in banks' borrowing from the ECB. Subordinated tranches can default according to a pre-defined hierarchy. The proposal demonstrates that Eurobonds do not have to come about as part of quasi-federal public debt management.

The debate about joint liability for member states' public debt is borne by two concerns. First, the EA must prevent self-fulfilling bond market attacks on member states which are highly contagious in an integrated area. And, second, in the aftermath of the Great Recession public debt levels are so high that servicing them will be a permanent drag on Europe's growth. Normal fiscal consolidation, reducing spending and increasing tax revenue, will be

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an implausible burden. If the Debt Redemption Pact had been introduced by early 2013, it would have required Italy to run a primary surplus (before taking interest payments on debt into account) of an estimated 7 per cent for 25 years in order to reach the 60 per cent Maastricht criterion; the necessary primary surplus could have been reduced to slightly above 4 per cent which is still daunting (Sachverständigenrat, 2012, para 39). Since then, the trajectory for fiscal consolidation has become even steeper, weighing down the economy and increasing non-performing loans in Italy's once reasonably sound banking system.

These proposals for joint debt management and even more far-reaching plans for a fiscal federation are up against the fact that there are no signs that member states are willing to pool fiscal sovereignty any time soon. And while a fiscal federation may end negative feedback loops between banks and state governments, they have other disadvantages: in a federation of this size, automatic stabilizers tend to be weaker because fiscal action of federal and regional authorities are less joined up (Rodden and Wibbels, 2002). Welfare states also tend to be less effective, because competition between state fiscal authorities put pressure on the progressivity and the level of state taxes as well as on basic safety nets like unemployment insurance (Dolls et al., 2010, p. 16).

A third strand of the literature therefore advocates more targeted interventions. The ESM could get a banking licence although it would require a Treaty change. This would make its lending capacity open-ended if a large country like Italy or Spain comes under pressure in bond markets. This licence can deal with illiquidity, but not with the insolvency of a sovereign debtor. The idea of an insolvency procedure for sovereigns has been discussed in IMF circles for some time. The Fund thus wanted to address the problem that small creditors of over-indebted countries can prevent the resolution of a desperate situation that damages the economy of a country as well as the business of big creditors – these small creditors hold out until they are paid off at great expense. Gianviti et al. (2010) proposed a "European Mechanism for Sovereign Debt Crisis Resolution" along the lines of an IMF reform, arguing that orderly insolvency procedures that need only a qualified majority of creditors to agree would be a positive sum game for the parties involved. This is also an essential element of the blueprint by Dolls et al. (2016, p. 11) which makes the important argument that such sovereign insolvency is necessary to restore market discipline. Without sovereign insolvency, extraordinary interventions of the ECB and the ESM during the crisis created the expectation that over-indebted member states will always be bailed out because a disorderly default would be too risky given its contagious nature.

The experience with a monetary union between diverse political economies suggests that diversity is not so much the problem. Members with very different vulnerabilities can get into trouble, Greece and Ireland, while others do not: e.g., Belgium. The challenge is to manage the interdependence through financial market, underestimated at the time even though it played arguably a big role in driving ever closer monetary integration. Financial markets are still not risk-sharing mechanisms but hard-to-predict amplifiers of vulnerabilities that every country has. Without a greater degree of fiscal risk-sharing to underpin fickle markets, the crisis of the EA is likely to remain virulent.

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